

Table VI

Year	(1) Average Spendable Earnings per Worker with Dependents	(2) Average Direct Tax Per Worker	(3) Worker and Dependents	(4) Social Welfare Expenditures, Worker & Dependent	(5) Net Expenditures ("Citizen Wage") per Worker (4)-(2)
1955	74.79	9.21	2.57	12.21	3
1959	81.22	14.78	2.71	16.94	2.16
1965	87.99	13.01	2.73	21.84	8.83
1972	93.13	15.87	2.57	39.19	23.32
1977	89.47	14.53	2.40	42.6	28.07

Notes:

1. Table 5, column 3.
2. Table 5, column 4.
3. These figures are obtained by multiplying one-fourth of the values given on column 4, in table 3 by column 3 figures in this table.
4. Table 5, column 7.
5. Table 5, column 8.
6. These figures are also obtained by multiplying one-fourth of the values given on column 4 in Table 2 by column 8 figures in this table.
7. These figures are the differences between the values on columns (4) and (2) in Table 2.

Table VI (continued)

(6) Average Spendable Earnings per Household	(7) Average Direct Tax per Household	(8) Number of Persons per Household	(9) Social Welfare Expenditures per Household	(10) Net Expenditures ("Citizen Wage") per Household (9)-(7)	(11) Net Expenditures in Gintis & Bowles
100.97	12.43	3.47	16.48	4.05	14
103.96	18.92	3.47	21.69	3.04	16
109.11	16.13	3.39	27.12	10.99	22
113.62	19.36	3.13	47.73	28.37	49
109.15	17.73	2.93	52.01	34.28	61

dividing estimated social welfare expenditure by the estimated total taxes (Table 7, column 8) the bias created by the inconsistencies in Gintis and Bowles' original data can be presented graphically as in Figure 2.

In the light of our criticism of their empirical method and data utilization, Gintis and Bowles' arguments such as "the post-World War II decades witnessed a substantial redistribution from capital to labor" or "the working class has increasingly relied upon the citizen wage as the concrete form of its distributional victories" lose any empirically verifiable basis they might have had. The notion that State expenditure on social welfare have greatly outrun taxes paid by workers is the basis of their view of a "distributional shift adverse to capital". Yet, I have demonstrated that it is empirically impossible to justify the claim that state expenditures are considerably higher than the taxes paid by workers even within the Gintis and Bowles' own empirical framework. This inevitably leads us to conclude that "their theorizing is simply not consistent with their own data".

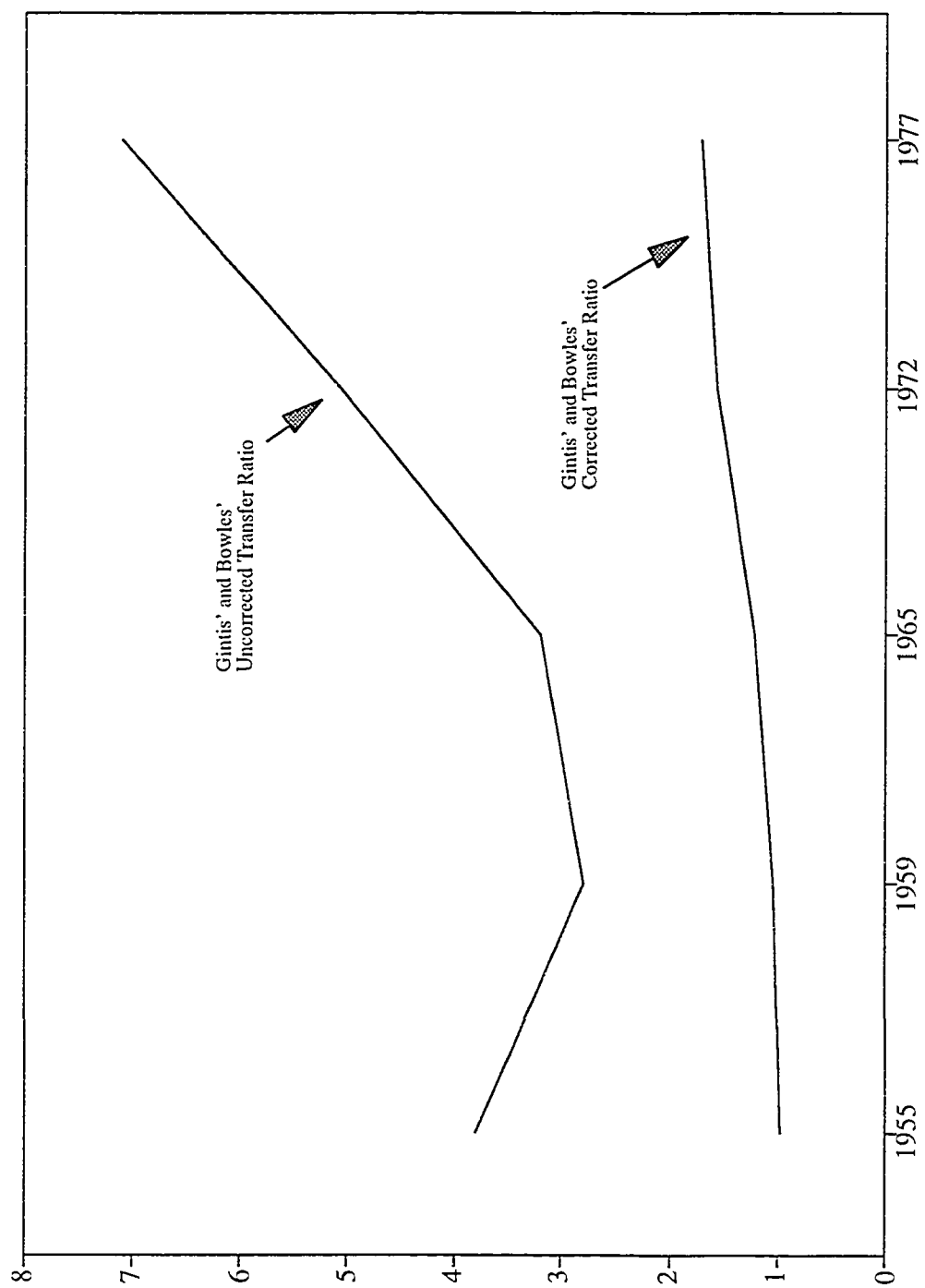
Table VII

	(1) Gross Earnings per Worker Gintis & Bowles	(2) Average Direct Taxes Gintis & Bowles	(3) Tax Rate Gintis & Bowles (2)/(1)	(4) Tax Rate -EAT	(5) New Total Taxes per Worker (4)x(1)	(6) Social Welfare Expenditures per Worker Dependents	(7) New Net Expenditures ("Citizen wage") (6)-(5)	(8) New Transfer Ratios (6)/(5)
Year								
1955	84	5	0.06	0.15	12.6	12.21	-0.39	0.97
1959	96	9	0.09	0.17	16.32	16.94	0.62	1.04
1965	101	10	0.10	0.18	18.18	21.84	3.66	1.2
1972	109	12	0.11	0.23	25.07	39.19	14.12	1.56
1977	104	10	0.10	0.24	24.96	42.6	17.64	1.71

Notes:

1. Table 2, column 1.
2. Table 2, column 2.
3. These rates are obtained by dividing my own estimations of the total taxes paid by workers (excluding employer contributions to social security; Chapter IV) by the total wages and salary incomes (NIPA, 1981, T.6.6B, 1.2)
4. Table 6, column 4.

Figure 1: Transfer Ratios, 1955-1977



C. Footnotes

1. A summarized version of the same article appeared in The American Economic Review - Papers and proceedings, May 1982 (Bowles and Gintis, 1982B). Also, Gintis and Bowles mentioned in their Politics and Society article that the propositions presented there are developed more fully in their forthcoming book on liberal democracy and the Marxian theory of the State (Gintis and Bowles, 1982A, p. 51).
2. Gough mentions this definition as what "is increasingly referred to as the 'social wage'". He himself prefers to use the term in a more restrictive, less loosely defined manner and in that respect he remains distant from both "social-democratic politicians" and Bowles and Gintis. the latter use the concept in place of "all collective consumption".
3. Regarding other years and other advanced capitalist countries Gough makes the following remark: "In past years the net taxation of households by the state has been considerably higher as a proportion of initial incomes. In this way the state has transferred substantially more from the personal sector than it has transferred back via the welfare state, a practice found almost universally in advanced capitalist countries according to a recent OECD report (OECD, Expenditure Trends in OECD Countries 1960-1980 (1972) p. 52)" (Gough, 1979, p. 110).
4. This definition is the clearest one in Gough's work. He also utilizes a concept of "social wage" which is defined in a more restricted manner, referring to the group of cash benefits alone; and the benefits in kind is termed collective consumption. It would seem that the latter definition of social wage was developed with an intention of making the concept more operational in his alternative framework to deal with the impact of state expenditures on profitability. However, I find the term very confusing, especially in relation to his definition of value of labor power, which is "measured by private and collective consumption of the employed population" (Gough, 1979, p. 117). In this definition the value of labor power now excludes the new (in cash) social wage without any theoretical justification.
5. They also mention two other ways through which the distributional power of labor limits the accumulation process: a) "...while the accumulation process (with its associated crises, wars, and inefficiencies) needs the support of direct state intervention into

capitalist investment and production processes, the liberal democratic structure of the state has in important respects impeded this intervention." b) "More subtle... have been the resulting changes in the way the reserve army of the unemployed workers to restore profitability by minimizing wage increases. In recent years the combined effects of the structure of collective bargaining agreements, the institutionalization of counter cyclical economic policy, and the expansion of the citizen wage appear to have greatly reduced the negative impact of the reserve army on money wages. This greatly interferes with the ability of capital to restore its power over labor through the normal workings of the business cycle."

The scope of this study prevents us from specifically dealing with Gintis and Bowles' judgements above. However, I would argue that a fair test of the validity of such hypotheses requires at least a detailed analysis of the role of state vis-a-vis capitalist class and that of labor market, wage formation and concrete historical evolution of the gains made by labor unions. Unfortunately, the fact that both analyses are missing in Gintis and Bowles' work leave us with an inevitable conclusion that their hypotheses, at best, are still at the level of speculation.

6. Table 2 is directly reproduced from Gintis and Bowles article except for the last two columns which are based on their empirical findings (Gintis and Bowles, 1982A, p. 53).
7. This correction and related implications to it were first developed in an unpublished note on social wage by Anwar Shaikh.

Chapter VI.

Conclusion

As indicated at the beginning of this study, our main focus was the conceptualization of state revenues and expenditures from the perspective of Marxist theory of value. I argued that it would be possible only then to analyze the role of the state in the distribution process vis-a-vis the working class. Empirically speaking, the question of the net impact of the distribution activities of the state on the welfare of the working class as a whole and the welfare of productive workers could only then be posed and properly answered. An analysis of the role of the state in the distribution process vis-a-vis productive workers presupposes a well-defined concept of variable capital. This fund of variable capital is the fund out of which the state not only collects taxes but to which it contributes as well. As a wage bill of productive workers alone, the concept of variable capital could only be developed within the discussion of productive and unproductive labor. Such theoretical discussion was developed in Chapter III; the clarification of this issue was necessary also in calculating the rate of surplus-value since the wage bill of unproductive workers constitutes a

In Chapter IV, an application of our conceptual framework to U.S. data was presented and the effects of the state's direct participation on the rate of surplus-value was discussed empirically. In dealing with the distributive activities of the state vis-a-vis the working class, we proposed the concept of net-tax which takes into consideration not only taxation but expenditures as well. The net tax as a concept refers to the difference between what is paid to the State and what is received from it.

In Chapter IV, net labor taxes were calculated for three sub- groups of working class: employed workers, employed and unemployed workers, and productive workers. For the employed workers, the net-tax throughout the years of 1952-1980 were positive, except for 1975. This is an empirical demonstration of a hidden fact that employed workers paid more in taxes than they received in benefits or income from the state. The same empirical phenomenon also can be observed by looking at a ratio of benefits and income received to taxes paid by employed labor. Although the latter ratio is based on the same information as net-tax, it is a better indicator of the role of the state in the distribution process,

since it partially excludes the effect of inflation. Naturally, the transfer ratio is always less than one for the same period except 1975. For the second group of workers, i.e., employed and unemployed workers, "welfare and social services" are added to the numerator of the transfer ratio yielding "Welfare-adjusted-transfer-ratio". This adjustment enabled us to see how much the so-called "welfare and social services" might have changed the whole picture when we look at the distributive activities of the state from the perspective of the working class as a whole. The adjusted ratio now was larger than one, indicating a net transfer to the working class, in 1971, 1974, 1975, 1977, 1978 and 1980 in addition to 1975. Especially considering the negligible size of net transfer to labor, and on the empirical grounds recapitulated above, we concluded that it would seem difficult to justify the existence of a welfare state in the U.S.

The role of the state in achieving a better income distribution has always been one of the central themes in public finance. Most studies on taxation usually ask tax incidence-related questions and test the effectiveness of the state in redistributing income through allocating the tax burden to the different income classes. However,